

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.31 ▲ 2.62%	12M Price Target \$5.00	52-Week Range \$3.01 – \$9.39	Market Cap \$2.06B
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BBAI: Panama Sovereign AI Win Offsets Pullback; Reiterate Hold

WHAT'S CHANGED

- BBAI announced a "foundational" sovereign AI deal in Panama (06/08), expanding LatAm border/homeland security TAM beyond core US federal book — incremental but unquantified.
- Stock fell -17.8% over four sessions (\$5.11 → \$4.20) before today's +2.6% bounce; now sits at just 20% of 52-week range with elevated volume (~32M shares), signaling capitulation flush rather than fresh accumulation.

IMPLICATIONS

The Panama win validates BBAI's international sovereign AI expansion narrative and dovetails with Zacks' homeland-security framing, supporting the bull thesis that BBAI is a smaller, more nimble alternative to PLTR in border/defense analytics. However, the GuruFocus "profitless tech" caution and 4-day sell-off suggest the market is rotating out of speculative AI names lacking near-term profitability — consistent with Tech ETF -5.92% over 5 days. With options flow heavily skewed bullish (P/C 0.18) into a downtrend, near-term setup is a contrarian bounce candidate but structurally unchanged.

VALUATION

At \$2.06B market cap on ~\$195M FY26E revenue, BBAI trades at ~10.6x EV/Sales — a premium to defense-IT peers (3-5x) but a discount to PLTR (~70x). EV/EBITDA is not meaningful given negative adj. EBITDA; multiple compression risk dominates until gross margins inflect above 30% and cash burn narrows. Base-case PT of \$5.00 implies ~9x FY27E sales, leaving modest upside; bull case requires sustained 25%+ growth plus EBITDA breakeven by 2H27.

KEY RISKS

- Federal budget continuing-resolution risk and lumpy contract timing causing quarterly revenue volatility.
- Equity dilution risk — BBAI has historically tapped ATM facilities to fund growth; further issuance would cap upside.
- Competitive squeeze from PLTR (downmarket) and pure-play defense primes (LDOS, CACI) capturing share in homeland AI.

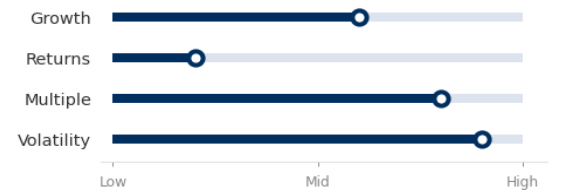
RECENT NEWS

- What's Happening With BigBear.ai Stock?** Trefis · 2026-06-08 13:31
- BigBear.ai Holdings Inc (BBAI) Secures Foundational Deal in Panama** Insider Monkey · 2026-06-08 12:00
- The next NVIDIA? These 3 stocks below \$50 are poised to win the next AI boom (and they're ...** Moneywise · 2026-06-06 12:05
- Is BigBear.ai Emerging as a Key Homeland Security AI Stock?** Zacks · 2026-06-05 13:25

Key Data

Price (USD)	\$4.31
12M Price Target	\$5.00
Upside / (Downside)	+16.0%
Market Cap	\$2.06B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$5.25	\$4.50	\$3.60
6 Months	\$6.50	\$5.00	\$3.20
1 Year	\$8.00	\$5.00	\$3.00
2 Years	\$11.00	\$6.50	\$2.50
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$12.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy, Healthcare

COLD SECTORS: Technology (5D -5.92%), Consumer Discretionary

ROTATION WATCH: Defensive rotation into Energy/Healthcare amid Tech drawdown suggests risk-off positioning; speculative AI names face continued multiple compression until rate/macro clarity returns.

BYPRODUCT PLAY: Sovereign AI/border security spend is structurally insulated from cyclical Tech rotation — defense-IT pure-plays (PLTR, LDOS, CACI) and dual-use AI infrastructure may attract rotating capital ahead of FY27 DoD budget cycle.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir Technologies): Continues to compound government bookings >35% YoY with positive GAAP earnings — the benchmark BBAI is measured against.
- LDOS (Leidos Holdings): Defense-IT incumbent winning homeland security AI tasks with profitable margins, expanding multiple.

BBAI CONTEXT: BBAI is lagging — at 20% of its 52-week range while PLTR remains near highs, the relative performance gap signals investors are paying for execution and profitability, not narrative. BBAI must demonstrate margin discipline to close the valuation gap.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.20-\$3.60 on technical retest of 52-wk low

Time Horizon: 12-18 months

Thesis Invalidation: Loss of DoD/DHS contract renewals, dilutive equity raise >10%, or FY26 revenue <\$170M

Hedging: Pair long BBAI vs short PLTR or buy protective \$3.5 puts